T-12 OPERATING STATEMENT

Quincy Oakmont Storage Depot | Houston, TX

Property	Quincy Oakmont Storage Depot
Period Ending	May 25, 2024
Basis	Accrual - Trailing 12 Months
Prepared By	Harbor Point Management Group
Size	647 storage units

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	87,275	89,279	92,669	90,172	95,979	92,996	92,148	97,307	90,325	93,839	88,075	95,271	1,105,335
4010 Loss to Lease	27,591	29,491	27,659	26,720	26,854	27,398	27,855	28,454	27,744	29,448	28,481	29,719	337,414
4020 Vacancy Loss	2,987	3,054	2,873	2,903	2,820	2,829	3,018	2,820	2,846	2,966	3,061	2,939	35,118
4030 Concessions	82,805	82,182	83,058	76,539	78,405	83,132	76,334	79,072	77,125	76,806	85,125	76,947	957,529
4040 Bad Debt	38,042	39,566	40,190	36,117	35,057	38,489	38,237	35,039	36,127	37,592	36,879	40,185	451,519
4050 Late Fees	28,065	27,195	28,108	27,806	26,708	26,992	29,005	27,138	27,323	27,300	27,656	28,802	332,100
4060 Utility Reimbursements	74,257	70,513	79,057	78,810	70,310	74,138	76,308	70,483	72,906	78,084	76,717	71,899	893,481
4070 Parking Income	62,086	62,341	63,675	60,309	63,923	64,334	62,178	62,128	64,594	60,951	63,555	62,676	752,751
4080 Application Fees	75,075	72,219	66,911	73,260	67,022	69,449	75,648	72,231	71,182	69,938	70,918	71,508	855,360
4090 Pet Rent	41,614	40,431	40,498	43,221	40,299	41,085	41,034	40,444	42,080	43,486	42,472	39,900	496,562
4100 Laundry Income	5,861	6,348	5,967	6,264	6,151	6,539	6,527	6,236	5,811	6,067	6,227	6,060	74,058
4110 Cable/Internet Revenue	36,645	37,864	37,304	38,372	36,267	38,131	38,150	38,590	36,637	39,240	37,213	37,962	452,376
4120 CAM Reimbursements	7,606	7,800	7,797	7,341	7,315	7,627	8,274	8,052	7,647	8,093	7,775	8,114	93,440
4130 Tax Reimbursements	11,717	12,150	12,320	11,168	12,675	11,259	12,640	12,452	11,265	11,675	12,246	12,141	143,708
4140 Insurance Reimbursemen	61,380	55,485	57,532	55,718	61,189	63,163	55,770	60,733	56,156	57,902	62,834	56,749	704,612
4150 Percentage Rent	57,932	56,103	54,684	58,175	57,618	59,685	58,992	58,419	60,390	59,108	54,215	55,338	690,659
4160 Misc. Income	13,052	13,237	14,407	14,618	14,131	14,399	14,568	13,931	14,150	13,812	13,299	13,979	167,583
4170 Payroll - Management	8,471	8,468	8,967	8,644	8,706	8,906	9,648	8,725	9,468	8,849	9,314	9,360	107,528
4180 Payroll - Leasing	10,278	10,547	9,825	10,698	10,722	10,740	10,232	10,105	10,158	9,878	10,438	9,978	123,600
4190 Payroll - Maintenance	1,726	1,580	1,755	1,626	1,599	1,668	1,624	1,750	1,687	1,673	1,711	1,621	20,018
4200 Payroll Taxes & Benefits	2,407	2,527	2,254	2,422	2,420	2,318	2,438	2,544	2,421	2,461	2,328	2,542	29,082
4210 Repairs - Plumbing	7,468	6,792	7,073	6,691	6,526	6,796	7,160	6,928	6,768	7,034	6,634	6,612	82,482
4220 Repairs - HVAC	1,544	1,699	1,540	1,528	1,649	1,579	1,543	1,600	1,653	1,557	1,546	1,526	18,964
4230 Repairs - Electrical	7,906	8,056	8,450	8,412	8,018	7,829	8,755	8,491	8,781	7,903	7,908	7,846	98,353
4240 Repairs - Appliances	4,350	4,335	4,128	4,285	3,828	4,356	4,133	4,209	4,163	4,115	4,322	4,250	50,474
4250 Painting & Decorating	2,614	2,597	2,299	2,389	2,359	2,613	2,527	2,426	2,507	2,527	2,468	2,513	29,839
4260 Flooring	9,295	9,946	9,679	10,015	10,153	9,267	10,177	9,460	10,236	9,191	9,529	9,453	116,402

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4450 Licenses & Permits	7,945	8,165	8,163	7,941	7,596	7,756	7,646	8,013	8,461	8,332	8,457	7,976	96,453
4460 Management Fee	2,042	1,892	1,962	1,866	1,832	2,036	1,949	1,817	1,876	1,986	1,956	2,052	23,266
4470 Property Insurance	5,229	5,014	5,157	5,070	5,603	4,914	5,564	5,154	5,383	5,618	4,951	5,284	62,942
4480 Real Estate Taxes	1,824	1,697	1,683	1,909	1,890	1,713	1,879	1,709	1,682	1,758	1,806	1,878	21,429
4490 Asset Management Fee	5,406	5,775	5,817	5,108	5,433	5,459	5,410	5,068	5,743	5,803	5,812	5,823	66,658
4500 Replacement Reserves	9,212	9,935	9,899	9,672	10,249	9,118	9,929	9,738	10,320	10,149	9,662	9,212	117,095
4510 Roof Repairs	9,196	9,242	9,259	9,460	8,974	9,478	9,831	9,578	9,006	9,225	8,665	9,324	111,236
4520 Parking Lot Repairs	1,728	1,774	1,605	1,684	1,716	1,707	1,695	1,625	1,643	1,743	1,694	1,802	20,416
4530 Signage	4,204	4,474	4,425	4,636	4,664	4,692	4,493	4,478	4,632	4,441	4,256	4,415	53,808
4540 Tenant Improvements	1,476	1,497	1,441	1,471	1,346	1,325	1,494	1,426	1,378	1,348	1,367	1,459	17,029
4550 Leasing Commissions	10,099	10,048	10,213	10,678	11,217	10,053	10,361	10,410	10,902	11,306	11,117	10,903	127,308
4000 Gross Potential Rent	86,238	90,706	95,828	93,233	88,192	96,756	89,126	95,088	90,654	93,614	91,457	89,683	1,100,575
4010 Loss to Lease	55,596	53,389	52,510	52,867	57,658	59,516	54,230	59,460	52,726	57,578	52,259	54,396	662,184
4020 Vacancy Loss	35,525	34,685	35,959	34,122	34,470	33,501	35,096	34,161	34,388	37,938	34,641	33,570	418,056
4030 Concessions	80,934	79,614	78,810	74,032	73,154	75,467	79,692	70,822	77,950	72,046	72,890	72,373	907,784
4040 Bad Debt	11,534	11,491	11,504	11,584	11,480	10,961	11,058	11,483	11,657	11,610	12,044	12,111	138,517
4050 Late Fees	8,784	8,896	9,167	9,206	8,989	9,681	9,445	9,362	9,332	9,587	9,740	9,701	111,891
4060 Utility Reimbursements	17,084	17,822	16,319	17,250	16,447	15,923	16,768	17,617	15,800	16,174	16,039	15,680	198,924
4070 Parking Income	70,034	68,797	65,314	66,518	68,437	64,017	66,419	69,848	67,967	68,529	68,406	65,346	809,632
4080 Application Fees	43,972	43,852	44,764	40,453	39,146	44,185	43,090	42,522	40,783	41,928	38,971	39,086	502,751
4090 Pet Rent	66,713	63,850	61,223	64,896	61,301	62,474	61,590	59,657	62,919	65,432	61,681	63,226	754,962
4100 Laundry Income	51,860	49,014	49,191	55,213	50,877	50,184	55,163	49,833	52,303	54,613	51,305	48,785	618,341
4110 Cable/Internet Revenue	38,574	41,447	39,638	39,516	38,464	39,906	41,405	38,609	40,177	37,368	38,319	37,882	471,304
4120 CAM Reimbursements	31,792	32,146	35,037	31,337	30,604	31,187	34,480	33,110	34,306	31,183	31,952	32,045	389,180
4130 Tax Reimbursements	68,180	65,765	71,755	63,858	68,077	66,996	67,552	64,131	65,900	64,515	63,379	70,356	800,465
4140 Insurance Reimbursemen	15,409	14,143	15,514	13,761	13,873	15,117	15,560	13,694	15,253	15,476	13,588	13,525	174,914
4150 Percentage Rent	11,696	11,498	11,529	10,428	10,501	11,579	10,665	10,359	10,443	10,616	11,090	10,276	130,680
4160 Misc. Income	41,482	45,601	44,263	45,665	43,113	42,395	43,879	45,952	44,709	42,065	45,526	42,024	526,673
4170 Payroll - Management	6,129	6,328	5,632	5,607	5,628	5,708	5,614	6,129	5,916	5,743	6,128	6,344	70,907
4180 Payroll - Leasing	3,068	3,143	3,156	3,171	2,929	3,045	3,066	2,901	2,824	3,112	3,180	2,907	36,501
4190 Payroll - Maintenance	1,929	2,017	1,984	1,881	2,082	1,886	1,953	1,985	1,968	2,007	1,940	1,924	23,556
4200 Payroll Taxes & Benefits	7,681	7,605	7,807	7,322	7,200	7,201	7,985	6,968	7,196	7,259	7,417	7,837	89,477
4210 Repairs - Plumbing	6,033	5,808	5,699	5,428	5,864	5,935	5,293	5,619	5,761	5,819	5,924	5,885	69,068
4220 Repairs - HVAC	10,597	9,765	10,664	9,404	10,761	10,661	10,235	10,434	10,619	10,151	10,073	9,643	123,006
4230 Repairs - Electrical	9,497	9,071	9,208	9,208	9,291	9,820	8,946	9,803	9,549	9,423	9,964	9,877	113,660
4240 Repairs - Appliances	8,868	8,707	9,268	8,942	9,638	9,423	9,498	9,064	8,874	9,092	9,597	9,046	110,017
4250 Painting & Decorating	10,969	10,050	10,528	10,435	10,423	11,329	10,866	10,764	10,126	10,911	11,418	10,658	128,478
4260 Flooring	1,312	1,374	1,319	1,299	1,339	1,430	1,453	1,408	1,359	1,408	1,420	1,304	16,426
4270 Make-Ready / Turnover	4,965	5,213	4,737	5,290	4,784	4,872	5,071	4,898	4,784	5,192	4,741	5,305	59,851
4280 Landscaping Contract	1,708	1,718	1,647	1,639	1,622	1,659	1,700	1,687	1,530	1,628	1,635	1,666	19,838
4290 Snow Removal	9,244	9,557	9,505	9,831	9,946	10,034	9,204	9,423	9,308	9,007	9,345	9,184	113,587
4300 Janitorial	9,599	9,913	10,138	9,200	9,985	8,948	9,555	8,849	9,279	10,032	9,633	8,846	113,976
4310 Pest Control	3,426	3,631	3,574	3,648	3,573	3,803	3,386	3,543	3,720	3,617	3,403	3,354	42,679
4320 Trash Removal	2,954	2,995	3,012	3,082	3,138	3,084	2,835	2,993	2,850	3,103	2,871	2,775	35,693
4330 Elevator Contract	5,057	5,468	4,936	5,157	5,324	5,024	5,251	5,304	5,640	5,000	5,066	5,608	62,835

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Operating Performance

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.04x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period.

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.33% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 33 hours. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Physical occupancy is 92.8% and the average in-place rent is $151 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The manager completes a monthly walk of the property and submits a variance report to the owner by the 46th business day.

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Service requests are tracked through a work-order system with an average completion time of 8 hours. Collections for the period were 90.3% of billed charges, with bad debt of 6.3% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Financial Analysis

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Effective gross income for the trailing period was $388,000, representing a 12.2% increase over the prior year. Operating expenses totaled $266,000 or approximately 41.10 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Physical occupancy is 95.6% and the average in-place rent is $151 per unit per month.

Physical occupancy is 94.5% and the average in-place rent is $151 per unit per month. Debt service coverage ratio was 7.04x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.0% over the hold period. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The going-in capitalization rate of 7.10% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Physical occupancy is 91.1% and the average in-place rent is $151 per unit per month. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 35 additional team members. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The manager completes a monthly walk of the property and submits a variance report to the owner by the 31th business day. Physical occupancy is 88.1% and the average in-place rent is $151 per unit per month.

Valuation Discussion

Operating expenses totaled $20,000 or approximately 12.54 per square foot, with real estate taxes representing the largest line item. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Physical occupancy is 90.9% and the average in-place rent is $151 per unit per month. The going-in capitalization rate of 6.07% reflects the in-place income and the stabilized occupancy assumption.

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Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4340 Fire & Life Safety	9,212	10,239	9,039	9,798	10,257	9,755	10,342	9,130	9,484	10,273	9,781	9,821	117,131
4350 Security	5,291	5,334	5,676	5,448	5,528	5,711	5,671	5,953	5,740	5,764	5,196	5,250	66,561
4360 Electricity - Common	8,469	8,242	8,388	8,254	8,185	8,604	8,533	7,935	7,788	7,998	8,488	8,668	99,550
4370 Gas - Common	3,324	2,938	3,306	3,296	3,052	2,931	3,312	3,322	2,963	3,225	2,905	3,324	37,897
4380 Water & Sewer	8,545	7,789	7,774	7,587	8,507	8,247	7,924	7,439	8,441	7,477	8,489	7,466	95,684
4390 Telephone/Internet	3,693	4,073	3,730	4,048	3,795	3,770	4,016	4,113	3,737	3,911	3,858	3,601	46,343
4400 Advertising	5,864	5,342	5,995	5,911	5,582	5,721	5,978	5,972	5,579	5,308	5,860	5,877	68,989
4410 Resident Events	6,542	6,842	6,859	6,552	6,154	6,889	6,210	6,619	6,513	6,799	6,611	6,616	79,205
4420 Office Supplies	3,864	3,548	3,731	3,813	3,617	3,798	3,510	3,674	3,466	3,878	3,501	3,727	44,126
4430 Legal & Professional	5,409	4,942	4,957	5,200	5,432	5,468	5,383	5,117	5,337	5,378	4,968	4,994	62,584
4440 Accounting & Audit	4,270	4,475	4,356	4,297	4,210	4,453	4,564	4,121	4,428	3,991	4,421	4,227	51,814
4450 Licenses & Permits	4,431	4,060	3,952	4,193	4,111	4,251	4,436	4,404	4,024	4,321	4,427	4,479	51,090
4460 Management Fee	8,945	8,445	8,183	9,117	8,867	8,860	8,332	8,973	8,662	9,274	8,167	8,612	104,437
4470 Property Insurance	8,067	7,980	7,979	7,994	8,493	8,102	8,725	8,303	8,479	8,462	7,982	8,198	98,764
4480 Real Estate Taxes	8,988	8,571	9,186	8,775	8,189	8,672	8,549	8,161	8,326	8,408	8,383	8,245	102,453
4490 Asset Management Fee	5,996	5,991	6,146	5,726	5,976	6,179	6,519	5,779	6,325	5,971	5,747	6,061	72,415
4500 Replacement Reserves	7,778	7,366	7,619	7,030	7,821	7,068	7,804	7,070	7,530	7,041	7,255	7,369	88,752
4510 Roof Repairs	7,960	7,292	7,243	7,253	7,178	7,337	7,357	7,934	7,084	7,104	7,248	7,510	88,500
4520 Parking Lot Repairs	9,978	9,517	9,911	9,928	9,800	8,833	9,958	9,963	9,014	9,026	9,150	9,727	114,805
4530 Signage	5,985	5,767	5,925	6,283	6,100	5,997	6,156	6,341	5,646	6,180	6,015	5,613	72,006
4540 Tenant Improvements	7,044	7,502	7,503	6,769	6,918	6,786	7,040	7,438	6,952	7,602	6,989	6,718	85,261
4550 Leasing Commissions	7,095	7,695	7,394	7,597	7,009	7,021	7,195	6,779	6,900	7,600	7,194	7,585	87,066
4000 Gross Potential Rent	85,906	97,556	88,570	97,360	92,249	88,587	91,818	87,784	95,553	91,285	92,788	87,850	1,097,308
4010 Loss to Lease	55,832	53,993	53,403	53,505	55,432	54,393	54,400	58,560	58,284	54,847	57,093	57,846	667,587
4020 Vacancy Loss	37,351	37,709	34,762	36,275	36,975	35,838	33,687	34,157	35,871	34,587	34,514	34,382	426,108
4030 Concessions	32,278	32,869	30,508	30,853	32,948	32,748	29,983	33,481	29,648	30,166	30,473	29,368	375,323
4040 Bad Debt	44,474	44,611	40,593	40,438	42,600	44,063	42,344	40,589	39,354	39,239	43,336	42,427	504,068
4050 Late Fees	43,806	40,056	43,126	43,701	43,684	44,469	40,019	39,222	39,490	39,780	39,565	39,557	496,475
4060 Utility Reimbursements	6,211	5,763	5,585	5,497	5,932	6,047	5,722	6,135	5,606	5,980	5,640	5,885	70,001
4070 Parking Income	69,758	74,051	65,220	72,496	66,720	70,551	70,912	66,685	66,107	65,387	67,588	69,640	825,114
4080 Application Fees	72,836	71,531	71,246	68,312	73,884	64,432	65,970	73,089	71,904	71,338	68,959	73,333	846,834
4090 Pet Rent	18,049	17,863	17,562	18,923	17,358	18,085	18,872	18,746	18,699	16,573	18,071	16,744	215,545
4100 Laundry Income	46,900	45,362	44,193	46,469	50,055	48,854	48,668	47,927	49,808	48,045	47,185	46,026	569,492
4110 Cable/Internet Revenue	41,659	41,470	44,426	40,168	44,647	41,338	40,777	41,094	45,527	39,949	40,695	44,831	506,580
4120 CAM Reimbursements	4,200	4,212	4,256	4,271	4,333	4,550	4,566	4,301	4,297	4,165	4,514	4,269	51,932
4130 Tax Reimbursements	42,005	45,062	46,923	46,963	46,542	47,195	47,406	44,711	44,421	46,743	42,269	43,516	543,755
4140 Insurance Reimbursemen	7,388	7,359	6,640	7,455	7,542	7,458	6,804	7,182	7,627	6,941	7,392	7,397	87,184
4150 Percentage Rent	30,961	30,139	33,544	31,063	31,800	32,752	31,383	31,122	30,588	32,509	30,739	33,915	380,515
4160 Misc. Income	69,415	65,860	61,379	62,966	62,084	66,714	60,847	62,682	64,703	67,734	66,176	61,927	772,486
4170 Payroll - Management	8,792	8,757	8,832	8,814	8,840	8,849	8,332	8,169	8,950	8,266	8,501	8,479	103,582
4180 Payroll - Leasing	8,836	8,725	9,220	8,291	8,701	9,169	8,427	8,417	9,221	8,402	8,955	8,396	104,760
4190 Payroll - Maintenance	6,430	6,598	6,627	6,458	6,018	6,332	6,519	6,564	6,250	6,120	6,417	5,987	76,322
4200 Payroll Taxes & Benefits	4,846	4,481	4,704	4,948	4,939	4,362	4,753	4,508	4,681	4,492	4,562	4,777	56,053
4210 Repairs - Plumbing	7,471	7,455	7,906	7,693	8,166	7,743	8,206	7,577	7,851	7,725	8,037	7,739	93,567
4220 Repairs - HVAC	5,220	4,882	5,322	5,469	5,331	5,368	5,234	5,051	5,066	5,369	5,555	4,982	62,849

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Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Physical occupancy is 96.3% and the average in-place rent is $151 per unit per month. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Debt service coverage ratio was 5.40x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. Service requests are tracked through a work-order system with an average completion time of 14 hours. Collections for the period were 91.0% of billed charges, with bad debt of 6.7% of gross potential income. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Physical occupancy is 88.7% and the average in-place rent is $151 per unit per month.

Physical occupancy is 90.5% and the average in-place rent is $151 per unit per month. Service requests are tracked through a work-order system with an average completion time of 26 hours. Collections for the period were 89.7% of billed charges, with bad debt of 3.3% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $302,000, representing a 5.4% increase over the prior year. Physical occupancy is 96.1% and the average in-place rent is $151 per unit per month.

Effective gross income for the trailing period was $46,000, representing a 10.6% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Operating expenses totaled $320,000 or approximately 19.98 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.98% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.9% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Service requests are tracked through a work-order system with an average completion time of 38 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Physical occupancy is 92.1% and the average in-place rent is $151 per unit per month.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 14 additional team members. Physical occupancy is 94.8% and the average in-place rent is $151 per unit per month. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Collections for the period were 96.1% of billed charges, with bad debt of 4.1% of gross potential income.

Valuation Discussion

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. The going-in capitalization rate of 5.91% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.40x on a trailing basis against a covenant minimum of 1.20x.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4230 Repairs - Electrical	4,227	4,178	4,269	3,922	3,901	3,946	4,125	4,361	4,341	3,947	3,911	4,404	49,532
4240 Repairs - Appliances	7,498	7,496	7,527	7,624	8,182	8,048	7,479	7,534	8,329	7,758	8,435	8,223	94,133
4250 Painting & Decorating	8,204	8,265	7,811	8,774	7,964	7,937	8,126	8,338	8,599	8,008	8,028	8,446	98,501
4260 Flooring	9,152	9,028	9,235	10,054	8,957	9,411	8,842	9,217	9,889	9,270	9,371	8,962	111,389
4270 Make-Ready / Turnover	4,585	4,364	4,624	4,268	4,470	4,257	4,864	4,282	4,476	4,587	4,650	4,376	53,805
4280 Landscaping Contract	6,569	6,857	6,499	6,331	6,248	6,650	6,343	6,524	6,178	6,512	6,003	6,093	76,808
4290 Snow Removal	7,281	6,452	6,757	6,501	7,028	6,826	6,662	6,931	6,642	7,112	6,889	6,988	82,068
4300 Janitorial	3,120	3,256	2,968	3,190	3,342	3,014	2,971	3,187	3,150	3,155	3,233	3,217	37,803
4310 Pest Control	940	942	973	957	987	993	963	925	892	911	976	920	11,379
4320 Trash Removal	1,581	1,608	1,693	1,604	1,723	1,676	1,582	1,580	1,661	1,557	1,541	1,714	19,518
4330 Elevator Contract	4,439	4,667	4,719	4,378	4,357	4,712	4,271	4,790	4,286	4,757	4,558	4,454	54,388
4340 Fire & Life Safety	10,682	10,002	11,033	10,631	10,807	9,918	10,172	10,438	10,294	10,189	10,525	10,521	125,211
4350 Security	4,904	5,323	4,747	4,709	5,332	5,146	4,917	5,237	4,912	4,902	5,280	5,195	60,603
4360 Electricity - Common	7,039	7,534	7,449	7,993	7,065	8,024	7,802	7,932	7,368	7,515	7,258	7,826	90,803
4370 Gas - Common	3,945	4,391	4,446	4,389	4,253	4,336	4,327	4,440	3,911	3,987	4,240	3,955	50,621
4380 Water & Sewer	6,822	6,885	7,375	7,017	7,408	7,184	7,021	6,568	7,204	6,802	6,724	6,883	83,892
4390 Telephone/Internet	6,465	6,589	7,009	6,990	7,198	6,772	6,477	6,495	6,801	6,607	6,635	7,205	81,243
4400 Advertising	9,218	10,277	9,619	9,371	9,755	10,448	9,190	9,278	9,433	9,645	9,765	10,162	116,162
4410 Resident Events	5,986	5,962	6,732	6,084	6,228	6,659	6,098	6,309	6,446	6,394	5,889	6,577	75,364
4420 Office Supplies	2,843	3,041	2,723	2,962	2,782	2,936	2,966	2,922	2,872	2,820	2,936	2,922	34,725
4430 Legal & Professional	972	991	1,036	1,027	1,061	990	1,008	1,020	955	1,017	983	981	12,041
4440 Accounting & Audit	4,863	4,905	4,801	4,705	4,827	4,992	4,634	4,677	5,028	5,058	4,863	5,049	58,403
4450 Licenses & Permits	7,357	7,837	7,772	7,422	8,351	8,389	7,637	7,665	7,669	7,472	7,837	7,906	93,313
4460 Management Fee	6,859	6,735	6,048	6,687	6,389	6,674	6,233	6,405	6,833	6,831	6,413	6,629	78,736
4470 Property Insurance	2,092	2,081	2,234	2,142	2,289	2,056	2,165	2,238	2,045	2,172	2,130	2,159	25,801
4480 Real Estate Taxes	5,208	5,393	5,436	5,486	5,426	5,525	5,331	5,248	5,169	5,390	5,648	5,334	64,595
4490 Asset Management Fee	7,736	7,665	7,431	7,646	7,226	7,696	7,796	7,257	6,963	7,870	6,965	7,451	89,702
4500 Replacement Reserves	9,440	9,348	8,756	8,634	8,695	8,929	8,627	8,850	9,014	9,845	9,727	8,813	108,679
4510 Roof Repairs	7,738	8,263	8,010	8,568	7,699	7,808	7,692	8,230	7,748	8,693	8,705	8,423	97,577
4520 Parking Lot Repairs	9,041	8,719	8,414	8,729	8,639	8,403	9,028	8,802	8,302	8,673	8,088	8,547	103,384
4530 Signage	2,774	2,938	2,875	2,867	2,711	2,752	2,652	2,895	2,824	2,886	2,816	2,950	33,941
4540 Tenant Improvements	8,221	8,277	8,523	8,665	8,375	8,108	8,552	8,597	8,764	7,913	8,797	8,330	101,123
4550 Leasing Commissions	9,852	9,745	10,748	9,862	10,006	9,657	10,233	10,382	10,317	10,792	10,969	10,245	122,809
4000 Gross Potential Rent	94,587	97,398	89,555	96,608	90,310	94,587	88,176	92,412	88,752	96,676	97,492	96,793	1,123,347
4010 Loss to Lease	68,074	71,577	71,869	67,915	63,189	66,047	67,222	71,036	65,472	63,910	66,483	67,735	810,529
4020 Vacancy Loss	20,452	22,768	20,540	21,283	22,846	21,113	21,027	20,336	21,016	20,751	22,423	22,804	257,360
4030 Concessions	57,917	55,570	53,211	54,798	53,406	55,043	56,445	57,264	51,034	52,850	53,356	56,017	656,911
4040 Bad Debt	18,083	17,724	16,843	18,441	16,193	17,513	17,017	17,943	16,935	18,292	16,276	16,083	207,345
4050 Late Fees	45,175	41,862	42,225	41,260	42,616	44,893	44,424	46,546	46,367	45,459	43,538	42,404	526,769
4060 Utility Reimbursements	23,618	25,443	26,321	24,872	26,375	23,708	25,639	25,817	25,165	25,731	24,247	23,822	300,757
4070 Parking Income	85,526	77,363	76,095	82,013	83,704	75,540	80,444	81,280	83,129	82,047	78,729	85,072	970,942
4080 Application Fees	9,871	9,741	9,716	10,011	9,496	9,745	8,923	9,953	8,870	9,732	9,057	9,414	114,528
4090 Pet Rent	45,195	46,404	45,353	48,952	48,986	45,640	47,484	46,870	46,152	50,558	50,510	47,437	569,542
4100 Laundry Income	66,157	60,438	64,490	64,476	61,980	61,760	58,094	63,316	61,431	60,463	65,286	58,516	746,407
4110 Cable/Internet Revenue	45,492	42,120	43,248	44,848	41,825	47,085	42,158	44,874	42,603	47,084	43,082	45,498	529,919

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Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The going-in capitalization rate of 5.66% reflects the in-place income and the stabilized occupancy assumption. Physical occupancy is 93.9% and the average in-place rent is $151 per unit per month. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. Operating expenses totaled $191,000 or approximately 10.27 per square foot, with real estate taxes representing the largest line item. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.40% reflects the in-place income and the stabilized occupancy assumption. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Physical occupancy is 89.9% and the average in-place rent is $151 per unit per month. Collections for the period were 94.7% of billed charges, with bad debt of 3.2% of gross potential income. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Service requests are tracked through a work-order system with an average completion time of 7 hours. Collections for the period were 91.1% of billed charges, with bad debt of 6.3% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members.

Financial Analysis

Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The going-in capitalization rate of 7.94% reflects the in-place income and the stabilized occupancy assumption. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Effective gross income for the trailing period was $211,000, representing a 7.5% increase over the prior year.

Management Commentary

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Service requests are tracked through a work-order system with an average completion time of 16 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 46 additional team members.

Collections for the period were 91.1% of billed charges, with bad debt of 7.9% of gross potential income. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Service requests are tracked through a work-order system with an average completion time of 45 hours. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Operating Performance

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Summary and Notes

Valuation Discussion

Physical occupancy is 91.7% and the average in-place rent is $151 per unit per month. Effective gross income for the trailing period was $443,000, representing a 7.7% increase over the prior year. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Debt service coverage ratio was 5.26x on a trailing basis against a covenant minimum of 1.20x.

Operating expenses totaled $28,000 or approximately 6.12 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.60x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.09% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $174,000, representing a 13.0% increase over the prior year. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Leasing and Marketing

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members. Collections for the period were 93.7% of billed charges, with bad debt of 6.0% of gross potential income. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Collections for the period were 90.1% of billed charges, with bad debt of 7.0% of gross potential income. Physical occupancy is 89.0% and the average in-place rent is $151 per unit per month. Service requests are tracked through a work-order system with an average completion time of 35 hours. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

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